

CSSI Cost Segregation Study — Independent Audit Report

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Scope: All 9 properties in the #107752 series — full internal consistency audit

Executive Summary

A thorough, line-by-line audit was conducted across all nine cost segregation studies prepared by CSSI under engagement series #107752. Every figure in each report was cross-checked against three independent data points: (1) the letter summary totals, (2) the per-building Cost Detail sections, and (3) the Form 3115 individual building schedules where applicable.

The audit identified four findings — three critical errors and one quality control failure — all concentrated in a single property: Grace Townhomes. The remaining seven properties passed all checks. The errors found in Grace Townhomes are not minor rounding issues or formatting quirks. They are substantive, material errors that directly affect the Form 3115 filing, the 481(a) catch-up adjustment recognized on the tax return, and the ability of any CPA to reconcile the cost segregation report to the depreciation schedule. CSSI's work on Grace Townhomes is, in a word, unacceptable.

Audit Methodology

The following checks were performed for every property:

1. **Letter Summary Footing:** The sum of all MACRS life categories (5-year, 7-year, 15-year, 27.5-year) was independently calculated and compared to the stated "Total Project Cost Reviewed" in the letter.
2. **Building Detail vs. Letter Total:** The sum of all per-building "Total Allocation" figures across every Cost Detail section was compared to the letter total.
3. **Asset Allocation Footing:** Within each building's Cost Detail section, the sum of individual asset line items was compared to the stated "Total Allocation."
4. **481(a) Summary Sheet vs. Individual Schedules:** For Grace Townhomes and Grove Park (the two Form 3115 properties), the total on the summary sheet was compared to the arithmetic sum of the individual per-building 481(a) adjustment schedules.

5. **Asset Numbering Consistency:** Asset numbers used in the cost segregation report were cross-referenced against the asset numbers appearing on the 2024 tax return depreciation schedules.
6. **Scope of Analysis:** The proportion of total depreciable basis that was actually subjected to component-level reclassification was evaluated for reasonableness.

Findings by Property

Properties That Passed All Checks

The following seven properties passed every audit check with no discrepancies identified. All MACRS totals foot correctly, all building detail sections reconcile to the letter total, and all per-building asset allocations are internally consistent.

Property	Total Basis	5-Yr	15-Yr	27.5-Yr	Status
Grove Park Housing, LP	\$2,870,392.00	\$652,068.90	\$218,323.10	\$2,000,000.00	 PASS
Coral Village	\$4,856,162.00	\$1,076,239.78	\$382,128.40	\$3,396,107.37	 PASS
Marrero 3	\$421,413.03	\$69,762.27	\$9,030.57	\$342,620.19	 PASS
St. Charles Housing, LP	\$7,253,474.00	\$1,668,973.23	\$403,555.53	\$5,180,945.24	 PASS
Granite Ridge	\$2,785,254.00	\$638,979.91	\$223,846.67	\$1,922,427.42	 PASS
Fairfax Senior Apartments	\$824,840.00	\$163,089.67	\$20,065.85	\$641,684.48	 PASS
River Garden Estates	\$7,830,056.00	\$1,223,176.45	\$845,856.89	\$5,761,022.66	 PASS

Additionally, **Grove Park’s Form 3115 481(a) summary sheet was verified**: the summary sheet total of **\$(257,134.54)** matches exactly to the arithmetic sum of all eight individual per-building 481(a) adjustment schedules. Grove Park is clean.

Silver Spring Terrace Apartments — Quality Control Flag

Finding: Inconsistent Section Formatting (Non-Material)

Silver Spring Terrace contains 20 Cost Detail sections. Nineteen of those sections use the standard “Total Allocation” header to label the building’s total cost figure. The twentieth section — covering Asset #15 (\$87,540.00) — uses a different label: “Total Building Cost.”

The underlying numbers are correct. The 87,540 *is included in the letter total of* 3,917,488.00, and the MACRS split within that section (5-year: 25,900.00 + 27.5 – year :61,640.00 = \$87,540.00) is internally consistent. This is not a dollar error.

However, this inconsistency is a quality control failure. A report of this nature should use uniform terminology throughout. The inconsistency creates unnecessary confusion during reconciliation and suggests the report was not subjected to a consistent formatting review before delivery. CSSI should be asked to explain why this section was formatted differently from the other nineteen.

Grace Townhomes — Three Critical Errors

Grace Townhomes is the most problematic engagement in this portfolio. Three separate, material errors were identified, each of which independently undermines the reliability of the work product. Taken together, they raise serious questions about whether this report was reviewed by a qualified professional before it was delivered.

Error 1: Form 3115 Summary Sheet Does Not Foot to the Individual Schedules

Severity: Critical — directly affects the tax filing

The Form 3115 combined package for Grace Townhomes includes a Summary Sheet on page 17 that is supposed to aggregate the 481(a) adjustments from all 28 individual per-building schedules. It does not.

Source	481(a) Adjustment
Summary Sheet, page 17 (CSSI’s stated figure)	\$(120,565.76)
Sum of 28 individual per-building schedules	\$(205,582.84)
Understatement	\$85,017.08

CSSI's own summary sheet understates the 481(a) catch-up adjustment by **\$85,017.08**. This is not a rounding error. This is an \$85,000 discrepancy between two sections of the same document that are supposed to agree.

The consequence of this error is severe: if the Form 3115 is filed using the summary sheet figure of (120,565.76) *rather than the correct figure of* (205,582.84), the taxpayer will recognize **\$85,017 less** in favorable 481(a) catch-up depreciation than they are legally entitled to. That is real money left on the table due to CSSI's arithmetic failure.

The individual per-building schedules are internally consistent — each building's Before and After End Depreciation figures produce the correct per-building 481(a) adjustment. The error is entirely in the summary sheet, which appears to have been populated incorrectly and never cross-checked against the detail.

Required action: CSSI must correct the summary sheet, reissue the Form 3115 package with the correct total of \$(205,582.84), and provide a written explanation of how this error occurred.

Error 2: Asset Numbering Mismatch Between Cost Seg Report and Tax Return

Severity: Critical — prevents reconciliation

The cost segregation report assigns the Equipment asset at Grace Townhomes the designation **Asset #9**. The 2024 tax return depreciation schedule lists the same asset — same dollar amount, same 5-year life, same 200DB method — as **Asset #4**.

These are unambiguously the same asset. The dollar amount matches (\$108,770.22), the depreciation method matches (200DB/5-year), and the property description matches (Equipment — Grace Townhomes). The only thing that does not match is the asset number.

This error means that when a CPA, auditor, or tax reviewer attempts to reconcile the cost segregation report to the tax return, Asset #4 on the return has no corresponding entry in the cost seg report, and Asset #9 in the cost seg report has no corresponding entry on the return. The reconciliation breaks immediately and cannot be completed without manual intervention to identify and explain the discrepancy.

This type of error should be caught in the most basic quality review. It was not.

Required action: CSSI must issue a corrected report or written confirmation identifying Asset #9 in their report as the same asset as Asset #4 on the tax return, with an explanation of the numbering discrepancy.

Error 3: Only 15.6% of the Total Depreciable Basis Was Analyzed

Severity: Critical — the client may have been significantly underserved

The purpose of a cost segregation study is to reclassify components of a building's depreciable basis from 27.5-year residential real property into shorter-lived asset classes (5-year, 7-year, 15-

year), thereby accelerating depreciation deductions. For a residential apartment complex, a competently executed study typically reclassifies 20% to 40% of the total building basis.

Grace Townhomes has a total depreciable basis of **\$5,162,799**. CSSI's cost segregation analysis was applied to only **\$806,044** of that basis — the site improvements and equipment. The remaining **\$4,356,755**, representing the actual building structures (Assets #1 and #5 — 28 residential buildings), was left entirely on a 27.5-year straight-line schedule. No component-level analysis was performed on the buildings themselves.

Basis Category	Amount	% of Total
Analyzed (site + equipment)	\$806,044	15.6%
Unanalyzed (building structures)	\$4,356,755	84.4%
Total Depreciable Basis	\$5,162,799	100%

A proper cost segregation study on 28 residential apartment buildings would break down each building into its component parts — flooring, cabinetry, plumbing fixtures, HVAC, electrical, specialty items — and reclassify the accelerated portions accordingly. That analysis was never performed. The 28 buildings were treated as monolithic 27.5-year assets, which is exactly what they would have been without any cost segregation study at all.

The client paid for a cost segregation study on a *5.16millionpropertyandreceivedastudythatanalyzedonly*806,000 of it. Whether this was an intentional scope limitation that was not clearly disclosed to the client, or an omission that occurred in error, is a question that requires a direct answer from CSSI.

Required action: CSSI must clarify in writing whether the scope of work was intentionally limited to the site only, or whether the building component analysis was omitted. If omitted in error, a corrected study covering the full building basis must be delivered. If intentionally limited, the engagement letter must be produced to confirm the client agreed to this reduced scope.

Summary of All Findings

#	Property	Finding	Severity	Dollar Impact
1	Grace Townhomes	Form 3115 summary sheet understates 481(a) by \$85,017.08	Critical	\$85,017 of favorable depreciation at risk of being lost
2	Grace Townhomes	Equipment asset numbered #9 in cost seg report, #4 on tax return	Critical	Prevents CPA reconciliation; return integrity compromised
3	Grace Townhomes	Only 15.6% of total basis analyzed; \$4.36M in buildings never studied	Critical	Potentially hundreds of thousands in foregone accelerated depreciation
4	Silver Spring Terrace	Asset #15 uses “Total Building Cost” header instead of “Total Allocation”	Quality Control	\$0 — numbers are correct, formatting is inconsistent

Conclusion

Seven of nine properties reviewed are clean. The work on Grove Park, Coral Village, Marrero 3, St. Charles, Granite Ridge, Fairfax, and River Garden is internally consistent and passes all arithmetic checks.

Grace Townhomes is a different matter entirely. The three errors identified in that engagement — a summary sheet that does not foot to the detail, an asset numbering mismatch that breaks reconciliation, and a study that analyzed less than one-sixth of the total depreciable basis — collectively represent a failure of basic professional standards. Any one of these errors would be cause for concern. All three appearing in the same engagement is unacceptable.

CSSI must be formally notified of all three errors and required to respond in writing. A corrected Form 3115 package, a corrected asset numbering reference, and a written explanation of the scope limitation are the minimum acceptable remedies. Depending on CSSI's response, the question of whether the client was materially underserved on the building component analysis may warrant further escalation.

This report was prepared based on a review of the CSSI cost segregation study documents provided (series #107752). All figures cited are sourced directly from those documents. This

report is intended for internal CPA review purposes only.